Macroeconomics

Subject: Economics | NoteShare Library

MACROECONOMICS

1. GDP
Y = C + I + G + (X - M)
Nominal vs Real
Per capita

2. INFLATION
CPI, PPI
Demand-pull, Cost-push
Winners/Losers
Hyperinflation

3. UNEMPLOYMENT
Types: Frictional, Structural, Cyclical
Natural rate
Okun’s law
Phillips curve

4. BUSINESS CYCLE
Expansion, Peak, Recession, Trough

5. FISCAL POLICY
Government spending
Taxation
Expansionary: increase G, cut T
Contractionary: opposite
Multiplier effect
Deficit, Debt

6. MONETARY POLICY
Central bank (RBI, Fed)
Interest rates
Open market operations
Reserve requirements
Expansionary vs Contractionary

7. MONEY
Functions: medium, unit, store
M1, M2, M3
Money multiplier
Quantity theory: MV = PY

8. INTERNATIONAL
Trade, Comparative advantage
Exchange rates
Balance of payments
IMF, World Bank, WTO